Strategy Paper

Client Name

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Adviser Name

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Goals and Objectives

1. Build funds for retirement and superannuation.
2. Boost retirement savings for transition to retirement from age 60.
3. Take advantage of Super legislation to maximise tax free retirement income.

Risk Profile

Based on your current superannuation holdings in a 'Balanced' option, we have updated your investment risk profile to **Balanced**. A core part of our review will be to ensure this risk level is appropriate to achieve your early retirement goals, or if a slight increase in growth assets might be warranted.

Cashflow Surplus Calculations

Based on the financial information provided, we have calculated your estimated annual surplus cashflow as follows: (noting other expenses are outside of daily living expenses disclosed and not taken into account)

Combined Surplus: $50,924 per annum

Superannuation Strategy

A core recommendation of this strategy is to consolidate your superannuation into an actively managed portfolio. While we acknowledge that your current low-cost Hostplus fund has delivered strong historical returns, our advice is forward-looking and prioritises active risk management as you approach retirement. We note that the current Hostplus 'Indexed Balanced' option, with approximately 76% in growth assets, is positioned more aggressively than its 'Balanced' name would suggest. Given that investment markets are at high levels, we believe it is prudent to moderate this risk. The table below outlines the key differences between your current fund and the proposed Colonial First State portfolio, which forms the basis of our recommendation.

Superannuation Platform Comparison

Feature	Current: Hostplus Indexed Balanced	Proposed: Colonial First State Balanced Portfolio
Management Style	Passive (Tracks a market index)	Active (Professionally managed account)
Growth / Defensive Split	76% / 24%	62% / 38%
Performance (3yr p.a.)	12.17%	8.0%
Platform & Investment Fees	~0.25% p.a.	~0.82% p.a.
Adviser Fee	N/A	0.70% p.a.

Recommendation: Consolidate to Colonial First State

Rationale:
The proposed CFS managed portfolio complements your investment philosophy. While we acknowledge that the proposed portfolio has a higher initial cost, this is a direct result of a more conservative investment strategy that we believe is prudent in the current economic climate.

We note that the current Hostplus 'Indexed Balanced' option, with approximately 76% in growth assets, is positioned more aggressively and is behaving more like a 'Growth' portfolio than a 'Balanced' one. Given that investment markets are at high levels and you are closing in on retirement, we believe it is wise to moderate the level of risk in your portfolio to place a greater emphasis on capital preservation. The proposed CFS portfolio, with a 62% growth allocation, achieves this slight de-risking while still providing strong opportunities for growth. It is important to note that this more conservative positioning may result in lower initial returns if the market continues its upward trend, but it provides a greater degree of protection in the event of a market downturn.

Furthermore, the higher fee structure reflects a significant increase in the level of service and active management you will receive. The move to a managed account provides a clear framework for us to partner with you and proactively manage your wealth. This includes automatic portfolio re-balancing to ensure your investments remain aligned with your risk profile, as well as structured annual review meetings. These meetings allow us to sit down with you to review the portfolio and the financial world, discuss its progress against your goals, and make any necessary adjustments.

This long-term management, in addition to ongoing advice and contributions, creates a better overall outcome and provides the potential for higher growth over the long term. This ongoing advice and active management relationship, which comes with an adviser fee of 0.70% per annum, is a key part of our service designed to provide you with peace of mind and ensure your financial strategy evolves with your needs and the market.

Contribution & Funding Strategy

Following the consolidation, we suggest an aggressive contribution strategy to fund Sue's remaining concessional contributions (including catch-up super) & the non-concessional $360,000 contribution. A key decision is how to fund the capital required, and we have presented three options for consideration (noting this can be done in one go or over time):

- **Option A:** Redeem the IOOF Bond (~$72k), use cash (~$139k), and fund the rest (~$150k) via a cash offset facility.
- **Option B:** Use cash (~$139k) and fund the larger remainder (~$221k) via a cash offset facility, in order to keep the IOOF Bond as a separate investment.
- **Option C:** Use a cash offset facility to fund all remaining contributions.

Investment, Income, and Future Strategies

Strategy: Implement a Transition to Retirement (TTR) Pension

To address your goal of boosting savings from age 60, we recommend implementing a TTR strategy as soon as he reaches preservation age.

How it Works: A TTR access his super as an income stream while still working. By drawing a tax-free income from the TTR, you can afford to salary sacrifice more of his high-tax employment income into super. This creates a significant tax saving, reduces his personal tax bill, and moves a large portion of his super into a 0% tax environment for earnings, accelerating your overall savings.

Key Rules & Regulations:

- You must have reached your preservation age (60) and still be working.
- A minimum of 4% and a maximum of 10% of the account balance must be withdrawn each year.
- For members over 60, all income payments are tax-free.

Illustrated Financial Impact of TTR Strategy

The table below illustrates the potential annual benefits for both Tim and Sue when they commence a TTR pension, based on their current balances.

Client	Super Balance (Est.)	Min. Pension Drawdown (4%)	Annual Tax Saved on Earnings*	Additional Tax-Free Cashflow
Tim	$752,000	$30,080	~$7,900	$30,080
Sue	$338,000	$13,520	~$3,550	$13,520
Total	**$1,090,000**	**$43,600**	**~$11,450**	**$43,600**

**Annual Tax Saved on Earnings is calculated by assuming a 7% investment return on the super balance. This return would normally be taxed at 15% in an accumulation account, but is tax-free in a TTR pension account.*

Summary of Benefits: By implementing this strategy, you would generate approximately **$43,600** in additional tax-free cashflow each year. This cash can be used to live on, allowing you to direct more of your pre-tax salary into super via salary sacrifice, further reducing your personal tax bills. Simultaneously, the strategy saves approximately **$11,450** in tax on investment earnings within your superannuation fund each year, allowing your retirement nest egg to grow faster.

Investment and Retirement Income Strategy

The Retirement 'Income Jigsaw'
Once you fully retire, your income will be sourced from multiple places. These pieces must fit together to create a tax-efficient picture for the decades to come.

- **The Foundation (Super Pension):** The superannuation balance we are aggressively building now will be converted into a pension, providing your primary, foundational income stream. This income will be completely tax-free, covering your core living expenses.
- **The Flexible Top-Up (Share Sales):** Your shares are held in individual names, giving you minimal flexibility. Because your foundational retirement income will be tax-free, your personal taxable income will be close to zero (if not $0). This creates an opportunity to strategically sell down parcels of your share portfolio each year in retirement. The capital gains realised can be absorbed by your individual tax-free thresholds, allowing you to access the significant locked-in gains with minimal tax.
- **Redeem the IOOF Investment Bond:**
You may redeem the tax-free proceeds of the IOOF Investment Bond (~$72,000) and use this capital to help fund the large contribution to superannuation.
Why is this withdrawal tax-free? The 10-Year Rule: Investment Bonds are 'tax-paid' investments, meaning the provider (IOOF) pays tax on the internal earnings at the corporate rate of 30%. The primary benefit of this structure is that if you hold the investment for at least 10 years, any withdrawal made after the 10th anniversary is received by you completely tax-free and does not need to be declared on your personal tax return. As you invested in 2011, you have held the bond for well over the required 10 years, which is why the full amount is available to you now.

Tax Benefit of Strategic Share Disposal

Selling your share portfolio today would trigger an estimated **$86,000** CGT bill. The strategy of selling down gradually in retirement is designed to eliminate this tax. Here is the optimised illustration:

- The Goal: To keep the annual taxable portion of your capital gain for each person below the effective tax-free threshold of $22,500 **(including low income rebate where applicable).**
- Total Tax Payable: $0, resulting in a total estimated tax saving of **$86,000**.
- Selling down these shares during retirement where in theory your net income would yield as $0 would allow you to take advantage of the tax-free threshold.

Future Strategy: Downsizer Contributions

When/if you eventually sell your Box Hill home in the future, you can each contribute up to **$300,000** into super. To be eligible, you must be age 55 or over and have lived in the home for at least 10 years. This is a powerful contribution type as it does not count towards the standard caps.

Other Supporting Strategies

Enhance Financial Flexibility and Estate Planning

- **Establish a cash offset facility:** It is critical to establish this facility before you both retire and prior to age 60. Banks are often reluctant to extend new credit to retirees, so securing the maximum possible facility while you are still employed is paramount. We recommend establishing this against your Box Hill home to act as a safety net and a source of strategic capital to fund contributions, provide financial assistance to your children, or cover any other large expense in retirement.
- **Update Estate Plan with Testamentary Trusts:** This has been completed by Doug Patrick at Lakeside to protect your assets and ensure they are passed on in a tax-effective manner.

Alternative Strategies

- **Alternative: Funding Super via Accelerated Share Sale vs. cash offset facility**

  To fund the contribution shortfall, you could sell shares to realise enough gain to create a taxable income of ~$45,000 each. This would incur an immediate tax bill of ~$8,600 but would free up capital faster than waiting for retirement and reduce the need for debt. We can model this side-by-side against using the offset facility, which preserves the portfolio but incurs interest costs.

Items to Research

- Finalise the decision on the preferred funding strategy (Option A, B or C).
- Complete a detailed cashflow analysis to model the "Accelerated Share Sale" vs "cash offset facility" funding strategies.
- Complete and lodge rollover documentation to consolidate Hostplus accounts into the new Colonial First State accounts.
- Obtain quotes and pre-approval for the cash offset facility.